THINK Ahead: Tell us what you really think

Markets are confidently pricing as many as three European Central Bank rate hikes this year, or so it seems. Our live poll this week suggests otherwise. Read on as James Smith weighs up the case for rate rises in April and June, and explains why it's a dilemma fraught with risk. All that, plus our guide to the week ahead

Are markets really expecting two ECB rate hikes this year?

Watch video

Do investors really think the European Central Bank is going to hike rates several times this year?

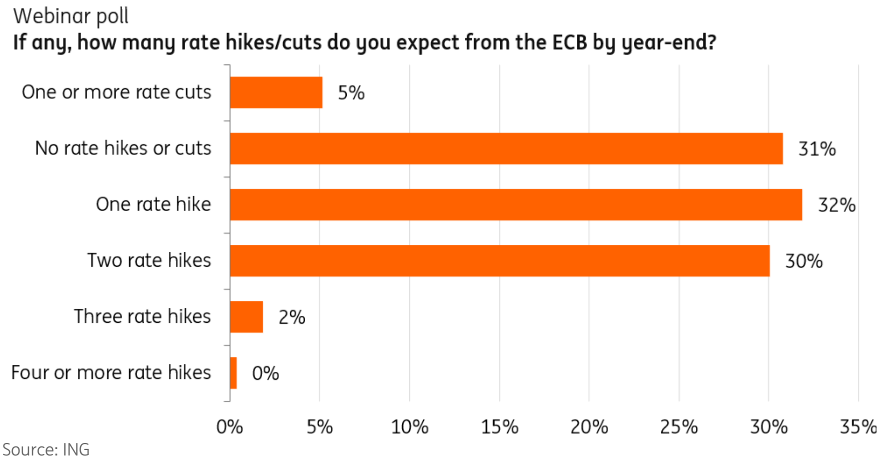
Take a look at the poll we ran during our webinar this week, conducted just 24 hours after the US Iran ceasefire announcement. The audience split almost perfectly three ways between zero, one and two hikes this year. Nobody could agree on what comes next.

And yet, if you glance at your Bloomberg screen, you'd be forgiven for thinking the answer is obvious. For weeks now, swap markets have been pricing between two and three hikes by year-end.

That disconnect suggests market pricing can't be taken entirely at face value. Liquidity is poor. As my colleague Michiel Tukker explains in the video above, thin markets can exaggerate the story. More importantly, market prices are not forecasts. They're weighted averages of multiple scenarios.

Those scenarios range from a relatively benign outcome through to a far more uncomfortable world in which oil prices surge and central banks are forced back into inflation fighting mode. Seeing two hikes on a screen and treating it as a point expectation is probably unwise.

Nobody can agree on what the ECB will do next



Based on a live poll of 273 webinar attendees on Thurs 9 April at 10:00 CEST

Still, the fact that markets are pricing *more than one* hike creates a genuine dilemma for the ECB, and, frankly, for lots of central banks.

Hiking rates now is risky. This is not 2022. The odds of higher energy prices triggering a classic wage price spiral look much lower in today's economic climate. Weak German industrial data this week is just the latest reminder of that. As Carsten told our webinar audience, markets flirting with three or four hikes - something we've seen intermittently in recent weeks - would risk unnecessary strain in financial markets and put additional pressure on an already fragile eurozone recovery.

It's also worth remembering that this shock looks different from the last one. So far, it's much more an oil shock than an electricity shock. Natural gas prices, in the grand scheme of things, haven't moved that much, despite the sharp loss of LNG supply from the Gulf.

And yet, central banks are clearly uneasy. Having got inflation so spectacularly wrong four years ago, they're desperate not to repeat the mistake. Which brings us to inflation expectations – the thing policymakers fear losing control of most.

So far, market based measures of longer term inflation expectations haven't really budged since the conflict began. The five year inflation swap priced five years forward – a decent gauge of where investors think inflation ultimately settles – looks remarkably calm. But that calm is conditional. It assumes the ECB delivers multiple rate hikes this year. A similar logic is true of the Bank of England.

Fast-forward three weeks to the April policy meetings, and here's the issue: it's far from clear that the situation in the Gulf will be any easier to read by then. Let's see what comes out of talks in Pakistan this weekend. But the tentative lesson from this week is that the backdrop is likely to remain fragile and vulnerable to re escalation on multiple fronts.

The Strait of Hormuz, in particular, is showing little sign of a clean or durable reopening. And even if flows improve over the coming days, it remains vulnerable to closure again at short notice.

In that environment, the temptation for policymakers – and probably the most likely outcome – is a re run of March. Keep rates on hold, stress the unusually high level of uncertainty, and keep all options firmly on the table. A handful of dissents in favour of rate hikes would probably help signal that inflation risks are being taken seriously. In other words: keep your powder dry, let investors (and the rate hikes priced in) do some of the tightening for them.

This strategy can only work for so long.

At some point, markets begin to wonder whether central banks are all bark and no bite. And that's when the risk shifts. If investors start to doubt the willingness of policymakers to follow through, inflation expectations – and by extension, the longer end of the bond market – risk becoming harder to control.

We've already seen consumer inflation expectations spike, don't forget. Personally, I'm not convinced that matters very much. Central banks may take a different view.

Then there's the length of the disruption itself. The longer volatility in Middle Eastern commodity flows persists, the more likely it is that we see broader supply chain effects creep in. Think of helium supplies critical for semiconductor production. Aluminium for cars. Fertiliser for food. The list goes on. And, crucially, visibility on how these effects interact is low. The Covid pandemic taught us that.

Which brings us to June.

Central banks can probably get away with a hold in April, blaming geopolitical uncertainty and a lack of economic data to guide them. By the summer, things get much more awkward. If commodity flows through the Middle East remain volatile and unpredictable, investors may begin to question the commitment of central bankers to keeping inflation under control.

The risk of second round effects on prices will have risen, and we might start to see the first hints of that in the official core inflation data. And remember, ECB policy is not especially restrictive to begin with. A 2% deposit rate is widely seen as neutral.

There are, of course, many ways the disruption in the Middle East could play out. We're updating our forecasts and scenarios as we speak – more from us on that next week. But put it this way, it becomes easier to imagine the ECB hiking rates in June if the disruption doesn't resolve much by then, particularly when you add in Germany's fiscal stimulus in the background. Carsten made exactly that point on this week's webinar.

After all, what's one rate hike between friends? But it's a delicate balance. As the Bank of England learnt the hard way back in March, talking tough – even without actually hiking – can open the floodgates for markets to price in far more tightening than policymakers ever intended.

And in a fragile growth environment, that's a dangerous game to play.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

- **Beige Book** (Wed): It is a fairly quiet week in the US next week with the US-Iran negotiations set to drive market sentiment. The data calendar consists of PPI and import prices, which are set to highlight the build up in pipeline price pressures initiated by the Middle East conflict. Industrial production will be the main activity release and based off the ISM manufacturing report and Federal Reserve regional surveys, we expect another decent performance. The Federal Reserve's Beige Book report is also worth watching. This is an anecdotal survey on the state of the US economy that is an important determinant of Fed policy directions. It is likely to highlight increased corporate caution, subdued hiring and rising inflation pressures.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Feb BoP** (Mon): We estimate that the February current account recorded a €293mn surplus vs. €115mn in February last year. That translates into a 12-month cumulative deficit narrowing to 0.5% of GDP vs. 0.6% of GDP after February. According to our forecasts, exports of goods in euro-terms were at a similar level as the corresponding month of 2025, while imports fell by nearly 1% year-on-year. Starting from April, we may see some deterioration in the balance of payments on the back of more expensive imports of oil due to the military conflict in the Middle East. In 2026, we forecast a current account deficit of 1.4% of GDP.
- **Mar final CPI** (Wed): The flash estimate of March CPI of 3.0% YoY surprised on the positive side as the upswing in fuel prices was lower than feared (though might be revised upwards) and apart from petroleum, price pressures were benign. There were no significant changes in either food or housing energy prices vs. February. We also estimate that core inflation, excluding food and energy prices, was broadly unchanged and stood at 2.5-2.6% YoY. The official figure will be released on Thursday. So far, the energy shock is relatively contained and with a ceasefire announced, there is a chance it may remain a supply-side shock with limited spread to prices of other goods and services. We forecast average CPI inflation in Poland at 3.2% this year.

Czech Republic (David Havrlant)

- **Inflation** (Tue): We expect the statistical office to confirm that annual headline inflation remained just below the inflation target in March. The detailed breakdown and Czech National Bank calculation will likely show that annual core inflation remained broadly stable or slightly increased on the back of the punchier price dynamics in the service segment.
- **Current account** (Mon): The current account surplus likely increased in February, as the export performance was still intact before the Iran conflict, while imports for investment purposes somewhat mitigated the effect of solid exports.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 13 April		
US	1500	Mar Existing Home Sales (mn)	4	4.1
Netherlands	0530	Feb Trade Balance (EUR bn)	-	8.1
		Tuesday 14 April		
US	1330	Mar PPI (MoM%/YoY%)	1,4/4,6	0.7/3.4
Sweden	0700	Mar CPI Final (MoM%/YoY%)	-/-	-0.6/0.6
	0700	Mar CPIF Final (MoM%/YoY%)	-/-	-0.6/1.6
		Wednesday 15 April		
US	1900	Fed Beige Book	-	-
Eurozone	1000	Feb Industrial Production (MoM%/YoY%)	-/-	-1.5/-1.2
France	0745	Mar CPI Final (MoM%/YoY%)	-/-	0.9/1.7
Greece	1000	Mar CPI (YoY%)	-	2.7
		Thursday 16 April		
US	1415	Mar Industrial Production (MoM%)	0.2	0.2
	1330	Initial Jobless Claims (000s)	215	219
Eurozone	1000	Mar CPI (YoY%) Final	-	2.5
UK	0700	Feb GDP Estimate (MoM%/YoY%)	0.2/0.6	0.0/0.8
		Friday 17 April		
Eurozone	1000	Feb Current Account (EUR bn)	-	13
	1000	Feb Total Trade Balance (EUR bn)	-	-1.9
Italy	0900	Feb Global Trade Balance (EUR bn)	-	1.1

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 13 April		
Turkey	0800	Feb Current Account Balance (USD bn)	-7.1	-6.8
	0800	Feb Retail Sales (MoM%/YoY%)	-/-	2.4/18.8
Poland	1300	Feb Current Account (EUR bn)	0.3	1.2
Czech Rep	0900	Feb Current Account Balance (CZK bn)	34.2	29.2
Kazakhstan	-	Mar Industrial Production (YoY%)	-	3.2
		Tuesday 14 April		
Czech Rep	0800	Mar CPI (MoM%/YoY%)	0.6/1.9	0.6/1.9
Ukraine	0000	Oct Trade Balance YTD	-	-30.6
Romania	0800	Mar CPI (MoM%/YoY%)	-/-	0.6/9.3
Serbia	1100	Mar CPI (MoM%/YoY%)	-/-	0.5/2.5
		Wednesday 15 April		
Turkey	0900	Mar Budget Balance (TRY bn)	-	24.4
Poland	0830	Mar CPI Final (MoM%/YoY%)	1/3	1/3
Romania	0700	Feb Industrial Production (MoM%/YoY%)	-/-	-3.3/-3.8
		Thursday 16 April		
Poland	1300	Mar Core Inflation (YoY%)	2.5	2.5
Croatia	1000	Mar CPI Final (YoY%)	-	3.8
		Friday 17 April		
Hungary	0730	Feb Average Gross Wages (YoY%)	8.8	26.3

Source: Refinitiv, ING

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US inflation much more likely to be transitory this time around

Gasoline price hikes prompted a jump in headline inflation, but core pressures were more benign than feared. We have much greater confidence that inflation will be transitory this time around, given the lack of demand impetus and weaker corporate pricing power versus 2022

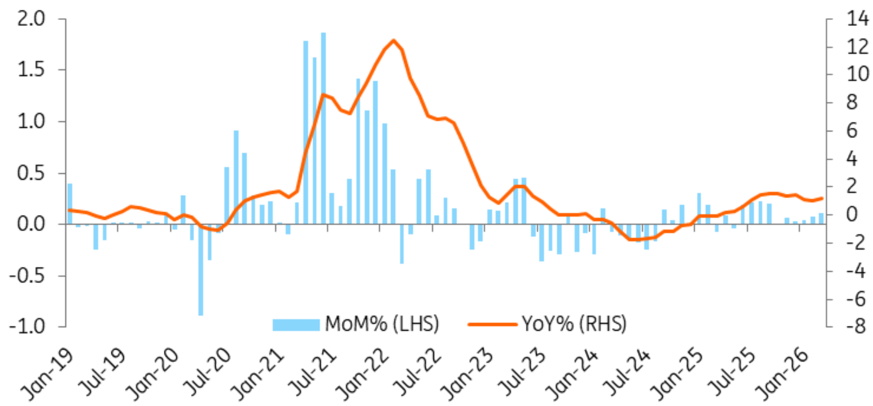
US CPI for March rose on higher gasoline prices, but we do think higher inflation will be transitory

Gasoline prompts an inflation jump, but core pressures were softer than feared

US headline CPI showed prices rising 0.9% month-on-month in March, as expected by the market, with a 21.2% MoM jump in gasoline prices contributing the bulk of upside impetus. Airline fares rose 2.7% MoM and apparel prices rose 1%. However, excluding food and energy, inflation was softer than feared, rising only 0.2% MoM/2.6% YoY versus expectations of a 0.3%/2.7% outcome. This was thanks largely to a 0.4% drop in used car prices, a 0.2% decline in medical care and a 0.4% decline in "other goods & services". Housing costs, the single biggest component by weight, rose 0.3%.

The economy has handled tariffs well, with limited goods price inflation. Core goods prices (ex-food and energy), remain benign, rising just 1.2% year-on-year. Instead, the tariff cost is largely being borne by the US corporate sector – next week's import prices will show another monthly rise, indicating foreign producers are not "paying" the tariffs.

Core goods price inflation



Source: Macrobond, ING

"Transitory" inflation far more likely this time

While the rise in energy costs will push the annual inflation rate even higher over the next few months, we don't expect a repeat of 2021/22 when the Fed called inflation pressures "transitory" only to then hike rates 525bp as inflation got within touching distance of 10%.

The supply shock this time around is arguably far smaller, focused in the US' case on gasoline and other fuel costs rather than *all goods* AND energy in the wake of pandemic-dislocated global supply chains. More importantly, there isn't the demand impetus this time around to generate broad and persistent inflation. 2022 saw 4.5mn jobs added, wage growth touching 6%, significant pent-up demand, record savings levels and stimulus checks. This time we have a much cooler jobs market with wage growth closer to 3%, weaker confidence and flat-lining real household disposable income.

Rising fuel costs likely to be demand destructive

Fuel price hikes are more likely to be demand destructive, via reduced discretionary spending power. This point was underlined by yesterday's personal income and spending report, which showed real household disposable incomes were flatlining before the Middle East conflict. We are likely to see this turning negative in coming months. Furthermore, if we see a successful outcome for the US-Iran negotiations and the flow of oil and gas starts to trickle out before coming more of a proper flow through the second half of the year, lower energy costs could possibly drive inflation below 2% at some point next year. As such, we still think interest rate cuts are more likely than hikes, especially given the Fed's dual mandate (price stability AND Maximum employment).

What would change our Fed view? If inflation expectations were to start rising and wage demands pick up, but right now both market and consumer long-term inflation expectations appear anchored and there continues to be more unemployed Americans than there are job vacancies – remember back in 2022 there were two job vacancies to every unemployed American. This highlights how the demand-supply balance has shifted within the jobs market and explains why we think second-round price effects will be far more muted this time relative to the post-pandemic inflation shock.

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Watch: How the energy shock is hammering Europe's construction industry

Europe's construction industry finds itself at the mercy of the sharp rises in oil and gas prices we've seen since the start of the war in the Middle East. ING's Maurice van Sante says we're seeing the strongest price rise expectations since the 2022 energy crisis.

There's more on Maurice's findings here

How the energy shock is hammering the construction industry

Oil and gas prices may have come down since the apparent ceasefire in the Middle East, but still-elevated levels are really bad news for Europe's construction industry. Materials such as cement, concrete, and bricks are highly energy-intensive to produce. We're already seeing that pressure add up; nearly a fifth of European building manufacturers said last month they would increase their prices. That's the highest reading in three years. Some countries are more exposed than others, notably the Netherlands and Spain, where producers are more reliant on gas. And all this comes at a time when the construction industry was just seeing a turnaround in its fortunes.

[Watch video](#)

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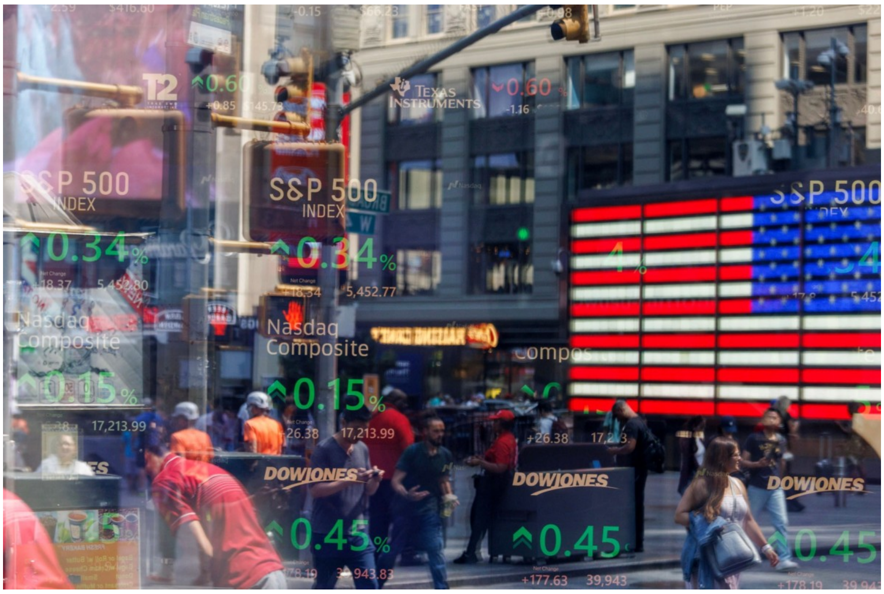
FX Daily: First inflation test

Today, we'll find out how much US inflation jumped in March. We expect almost one percentage point, to 3.4%, in line with consensus. Core should only rise modestly, and the Fed may not give too much weight to the headline figure for now. Still, it might make it a bit harder to add bearish USD bets today, barring encouraging developments on peace talks and Hormuz



A key area to watch today – outside of Middle East headlines – will be the US CPI report for March

USD: Can inflation lead to a faster peace deal?

Markets aren't being provided with clear direction at the moment. There is a strong sense that the ceasefire is fragile, with ongoing Israeli attacks in Lebanon proving a key friction in US-Iran negotiations. However, investors aren't ready to price in a re-escalation, and some optimism is being placed on announced Israel-Lebanon talks next week.

DXY keeps hovering just below 99.0. These levels clearly embed plenty of optimism, but another leg lower for USD is on the cards once, or if, a permanent peace deal is agreed and Strait of Hormuz flows resume. High beta currencies stayed in favour yesterday, with Antipodeans and Scandies leading the G10. The Australian dollar and Norwegian krone look particularly well-placed if de escalation supports risk sentiment, while energy supply recovers only gradually and prices prove sticky on the downside. Both currencies should also benefit from at least one domestic rate hike over the coming months.

Today's key area worth watching outside of Middle East headlines will be the US CPI report for March. We are aligned with consensus in expecting a 0.9ppt monthly jump in headline CPI to 3.4% year-on-year, while core CPI should accelerate only modestly from 0.2% to 0.3% month-on-month. What matters for the Federal Reserve are second-round effects, visible – if anything – in core inflation after a few months from the initial energy shock. As such, today's release should not be a game changer for Fed pricing unless inflation surprises meaningfully on the upside.

It is also worth watching the domestic political backlash from higher inflation. Some Republicans have voiced discontent over the war and rising gasoline prices, which could increase pressure on President Donald Trump to push for a peace deal. Anyway, with hot inflation grabbing headlines, the bar for another dollar drop should be a bit higher today, even if Middle East developments remain the primary driver.

Francesco Pesole

EUR: Ruling out an April hike

Pricing for a 30 April hike from the European Central Bank is now only 6bp. That mirrors not just the de-escalation (55bp remains priced in by year-end), but probably the view that the ECB won't have enough evidence to act, and the energy price outlook may still be uncertain in three weeks' time.

June and September look like the market's preferred windows for rate hikes, although a follow up move in July after a June hike is around 50% priced.

What matters most at this stage is the stickiness of tightening expectations. As discussed on several occasions, we expect pricing to remain above 50bp unless the ECB delivers explicit dovish signals, even if oil prices ease somewhat further.

That backdrop leaves the euro well-placed, in our view, to outperform other low yielders such as the Japanese yen and the Swiss franc. For EUR/USD, we look for some stabilisation around or slightly below 1.170 for now, with a good deal of positives already in the price.

Francesco Pesole

CAD: Jobs data in focus today

Canada releases jobs data for March today. Consensus is for a +15k payroll change after the very soft -83k February print. But the bigger signal for the Bank of Canada tends to come from the unemployment rate rather than the quite volatile monthly jobs swings. The BoC's pain threshold appears close to 7% unemployment – levels at which it was previously cutting and maintaining a dovish stance. The recent decline to 6.7% has given the Bank scope to turn slightly more hawkish, even before the war, so accelerations from here could offer a reason to cautiously unwind hike bets.

In our view, risks for CAD front-end rates are skewed to the dovish side in the coming weeks. Markets are pricing around 40bp of tightening by December, which looks too aggressive considering the BoC has not signalled much appetite for hikes, and attention may soon shift to USMCA renegotiations – a major downside risk for Canada's activity and jobs.

USD/CAD remains dominated by war headlines for now, and continued de escalation should allow a move to 1.370. We retain a moderate bearish bias on USD/CAD, but expect CAD to be outpaced by the likes of AUD and NOK.

Francesco Pesole

CEE: The market maintains a hawkish view

Yesterday's National Bank of Poland meeting confirmed previous communication that the MPC is in no hurry to take further steps. According to Governor Adam Glapinski, the situation in Poland is different from 2019-2022, and the central bank does not face the same inflation problem as in the past. The energy shock increases the inflation profile and pushes down GDP growth, but there is no reason to raise rates now, according to the Governor. Still, he mentioned that the central bank will react quickly if necessary. For us, no change in rates remains the baseline for a longer period. The market is still pricing in almost one rate hike in the one-year horizon, which is unlikely to go away until we see more inflation figures and further calming of the geopolitical situation.

We also heard more from the Czech National Bank this week. Bank Board member Jakub Seidler reiterated in a newspaper interview that he still sees the central bank in a relatively good position, with a slightly restrictive monetary policy before the Middle East conflict erupted and a cushion absorbing some of the inflationary factors. After Tuesday's lower-than-expected March inflation figure (1.9% YoY), it seems that headline inflation, similar to Poland's, should remain within the tolerance band. In our forecast, the CNB should therefore not react, and rates will remain unchanged. However, the market is pricing in almost two rate hikes in the one-year horizon – the most within the CEE region. In our view, this is mainly due to hawkish market pricing for the ECB and market expectations that the CNB will follow.

In Hungary, the election campaign is culminating ahead of Sunday's elections, and we are observing a disconnection of HUF assets from the rest of the region and the geopolitical situation. Market positioning before the general election is pushing EUR/HUF and bond yields significantly down, with roughly two rate hikes being priced in the one-year horizon. The National Bank of Hungary was muted this week, but apparently, the future direction of monetary policy will be determined by conditions after the elections and the market reaction to the result. For now, we also assume rates will remain unchanged; however, the situation may change quickly depending on the direction of fiscal policy, EU funds and EUR/HUF after the elections. Polls indicate a victory for the opposition, although we expect a close race.

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The Commodities Feed: Oil supported by ongoing supply risks

Oil extended gains for a second session amid fresh Middle East supply concerns

Brent climbed to around $96/bbl on Friday morning, but it's still down more than 11% this week after the US-Iran ceasefire announcement

Energy – Oil supported by ongoing supply risks

Oil extended gains for a second session amid fresh Middle East supply concerns. Saudi Arabia reportedly saw production capacity reduced by around 600k b/d following attacks on its energy infrastructure, equivalent to roughly 10% of typical crude exports. As well, strikes on a pumping station serving the East-West pipeline, which Saudi Arabia has been using to export crude via the Red Sea, restricted daily output by 700,000 barrels this week. Kuwait also said it intercepted drone attacks targeting key energy facilities.

Brent climbed to around $96/bbl on Friday morning, but it's still down more than 11% this week after the US-Iran ceasefire was announced on Tuesday. WTI was trading at around $98/bbl.

Attention is now turning to talks between a US delegation and Iranian officials scheduled for the weekend. While US President Donald Trump struck an optimistic tone on resolving the six-week conflict, he later threatened Tehran over charging fees in the Strait of Hormuz, keeping geopolitical risk premium elevated.

Even if transit through the Strait of Hormuz resumes, the return of energy supplies is unlikely to be immediate. Output has already been reduced at oil and gas fields, while refinery operations have been curtailed or temporarily shut, suggesting that some supply disruptions may take weeks, or longer, to fully reverse.

US natural gas prices slid to their lowest levels since late August 2025, with the Henry Hub front-month contract settling almost 2% lower. Prices were pressured by a larger-than-expected storage build and mild weather forecasts. EIA data showed inventories rose by 50Bcf last week, above expectations for a 47Bcf build and well above the five-year average increase of 13Bcf. Total stocks reached 1.91Tcf as of 3 April, 4.8% above the five-year average.

Refined product inventories continued to tighten. In the Amsterdam-Rotterdam-Antwerp (ARA) hub, stocks fell by 386kt WoW to 4.9mt in the week to 9 April, the lowest since June 2022. Gasoline and fuel oil inventories declined by 141kt and 138kt, respectively, while gasoil stocks fell 65kt and jet-kerosene inventories dropped 56kt to their lowest since March 2023.

In Singapore, onshore refined product stocks fell by almost 3mb for a second consecutive week to 47.1mb, the lowest since January. Middle and light distillate inventories declined by 1.04mb and 0.2mb, respectively, while residual fuel inventories fell by 1.74mb in the week to 8 April.

Metals – Gold trades higher

Gold has edged higher, on track for a third consecutive weekly gain and up nearly 2% at the time of writing. Prices were supported by diplomatic optimism around Iran, continued central-bank demand and rising inflation expectations, although price action remains highly headline driven.

Geopolitical risks are still unresolved, and the ceasefire appears fragile, keeping near term volatility elevated. Since the conflict began, gold has fallen around 10%, underscoring how macro headwinds, notably higher real yields and a firmer US dollar have outweighed safe haven demand. Looking ahead, gold is likely to remain volatile in the near term, but the longer term outlook remains constructive, supported by sustained central bank buying, ongoing reserve diversification and the likelihood that real rates will not remain restrictive indefinitely.

Meanwhile, Poland reiterated plans to increase gold reserves to 700 tonnes, while China added around 5 tonnes in March, marking its largest monthly purchase in more than a year.

Agriculture – WASDE bearish for corn and wheat

In its latest WASDE report, the USDA left the US corn balance sheet unchanged for 2025/26, with ending stocks held at 2,127m bushels, slightly below market expectations of around 2,131m bushels. However, the global outlook turned more bearish, with 2025/26 ending stocks revised up to 294.8mt from 292.8mt, above expectations of c.293.2mt. Global production was raised by 3.6mt to 1,301.1mt, driven by higher output in India, South Africa (+0.8mt), Indonesia and Russia (+0.3mt), partly offset by a 2mt upward revision to demand.

For soybeans, US 2025/26 ending stocks were left unchanged at 350m bushels, marginally above expectations. Export estimates were cut by 35m bushels to 1,540m bushels amid ongoing trade tensions with China and strong South American competition. Globally, production and demand estimates were revised higher to 427.4mt and 425.9mt, respectively, with larger output in Paraguay (+0.5mt) and South Africa offsetting losses in Uruguay. Despite stronger demand, global ending stocks edged lower to 124.8mt, below both the prior estimate and market expectations.

Wheat also weighed on sentiment. The USDA raised US 2025/26 ending stocks to 938m bushels from 931m, above market expectations of around 923m, reflecting slightly weaker domestic use and higher imports. On the global side, 2025/26 ending stocks were revised sharply higher to 283.1mt from 277mt, well above expectations, as production was lifted to 844.2mt on higher output from the EU (+1.1mt) and Russia (+0.8mt), while consumption estimates were cut to 820.1mt.

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Asia week ahead: China releases data on GDP, trade, retail sales, housing prices

It's all about China next week as Asia's biggest economy releases key data on GDP, trade, retail sales, housing prices and industrial production amid intensifying headwinds from the Middle East

Asia Research highlights of the week

China flashes additional signs of reflation as Iran War impact emerges
CNY at a glance: China's yuan moves into our bullish scenario
Philippines inflation inches up, with oil driven risks building

China: Moderation in growth is expected

Almost all of China's key data is set for release. We start with China's trade data on Tuesday. We expect the very strong export growth in the first two months of the year to moderate in March, with exports up 8.8% year-on-year and imports up 10.1%, resulting in a trade surplus of $108.2bn. On Thursday, China releases its first-quarter GDP. We're currently looking for growth to slow to 4.7% YoY in the January-March period, down from 5.0% in the fourth quarter. China's monthly activity data and 70-city housing prices will be released on Thursday. Other than industrial production, which we expect to grow around 5.5% YoY, economic activity data is likely to remain rather soft in March. Retail sales are projected to slow to 2.5% YoY, while fixed asset investment is expected to remain subdued at around 1.9% YoY year to date. Housing prices are expected to stay in negative territory, but any moderation in the downturn would be an encouraging sign.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
		Monday 13 April		
Indonesia	1100	Feb Retail Sales Index (YoY%)	-	5,7
		Tuesday 14 April		
China	1100	Mar Exports (YoY%)	8,8	21,8
	1100	Mar Imports (YoY%)	10,1	19,8
	1100	Mar Trade Balance (USD bn)	108,2	213,6
India	1430	Mar WPI Inflation (YoY%)	-	2,13
Singapore	0800	Q1 GDP Flash (QoQ%/YoY%)	-/-	2.1/6.9
		Wednesday 15 April		
India	1830	Mar CPI Inflation (MoM%/YoY%)	-/-	0.1/3.2
South Korea	0700	Mar Unemployment Rate	2,7	2,9
		Thursday 16 April		
China	1000	Mar Fixed Asset Investment (YoY%. ytd)	1,9	1,8
	1000	Mar Industrial Output (YoY%)	5,5	6,3
	1000	Mar Retail Sales (YoY%)	2,5	2,8
	1000	Q1 GDP (YoY%)	4,7	4,5
	1000	Mar Unemployment Rate	-	5,3
Australia	0930	Mar Unemployment Rate	-	4,3
		Friday 17 April		
Singapore	0830	Mar Balance of Trade (SGD bn)	-	4,5

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How Europe can reduce reliance on imported gas and what it means for business leaders

As Europe confronts a new energy crisis, we explore key measures to strengthen energy security beyond simply lowering energy bills, and the potential implications for business leaders

Europe still imports about 70% of its gas, leaving it exposed to supply risks

The EU has several levers it can pull to reduce its exposure to volatile gas markets if the energy crisis were to intensify.

Lowering gas demand is possible, but it comes with significant challenges and sacrifices. For households, further reductions are limited as thermostats are already turned down in the spring and summer – meaning that actions like shorter, less frequent showers may be necessary. In industry, decreased gas consumption is often the result of closures and deindustrialisation, rather than improved efficiency. In the short term, maximising the output of existing **hydro, nuclear, and coal power** plants offers the most immediate relief for the power sector.

While **renewables** surged after the 2022 energy crisis, current grid constraints limit their ability to provide a rapid solution. Over the medium term, expanding **biogas** production presents meaningful potential. Although **offshore gas production** is naturally declining, there is still an opportunity to extend the use of remaining resources and tap into new fields. This renewed crisis is likely to accelerate efforts to revive the **nuclear** sector, but such projects require many years to come to fruition. Unlike the energy crisis of the 1970s, which led to France's nuclear expansion, today, renewables are set to become the foundation of Europe's future energy systems.

As a **business leader**, immediate actions such as reducing gas usage or temporarily substituting gas with coal can help manage short-term supply disruptions. However, these approaches are not without challenges, particularly the potential for higher carbon costs from a gas to coal switch. To address supply risks and cost pressures more sustainably, companies should focus on increasing their reliance on renewable energy, investing in solutions that enhance grid capacity, expanding biogas production and utilisation, and supporting domestic offshore gas projects. These strategies can provide structural resilience against volatile gas markets.

Gas demand down 20% since Russian gas crisis, but further cuts will be harder

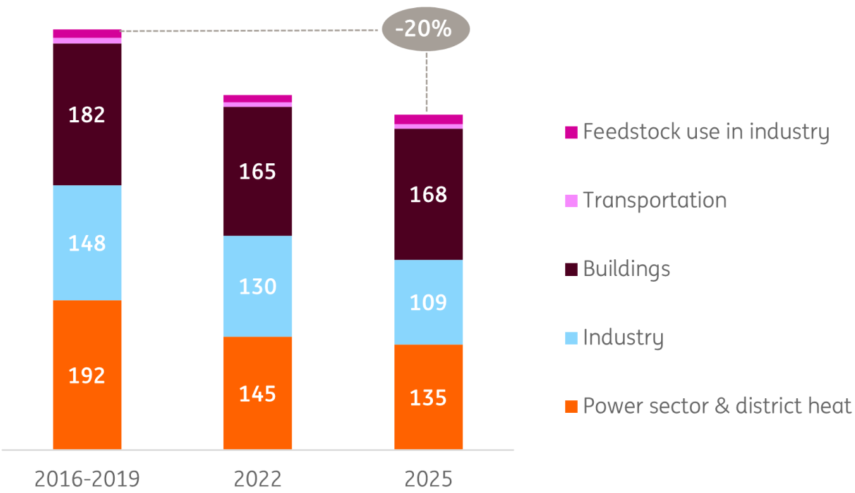
Since the 2022 energy crunch, European gas consumption has dropped from roughly 540 billion cubic meters (bcm) to 430 bcm, a notable reduction of 110 bcm, or 20%. Despite this progress, Europe still imports about 70% of its gas (just over 300 bcm annually), leaving it exposed to supply risks.

In the **building sector**, gas use has been structurally reduced by 8%, mainly due to conscious use (lower thermostats), better insulation, and increased adoption of heat pumps. The process of "greening" buildings is ongoing, but there are limited opportunities for rapid change.

Industry has seen gas consumption fall by 26%, but most of this has resulted from plant closures rather than efficiency gains. The chemical sector lost 37 million tons of gas and oil intensive refinery capacity due to shutdowns since 2022, while only seven megatons of new, "greener" capacity has been added, mostly in the battery, biobased, circular value chains and the modernisation of existing plants.

Gas use has been reduced by a fifth since the Russian energy crisis

Natural gas use in Europe (EU-27 + UK)



Source: ING Research based on Eurostat and Dukes

In the **power and district heating** sector, gas demand has dropped an impressive 30% compared to pre-crisis levels. Although electricity demand fell by just 3%, the power sector managed deeper gas reductions by shifting to renewables.

The question now is how much further Europe can reduce its dependence on imported gas and how that might affect businesses. This is not just an issue of compensation for high gas prices. It is about immediate, short-term measures that can quickly make a difference. We also examine longer-term solutions that could substantially reduce Europe's reliance on imported gas but require policy changes and sustained investments.

Gas diversification helped in 2022, but is tougher in today's multipolar world

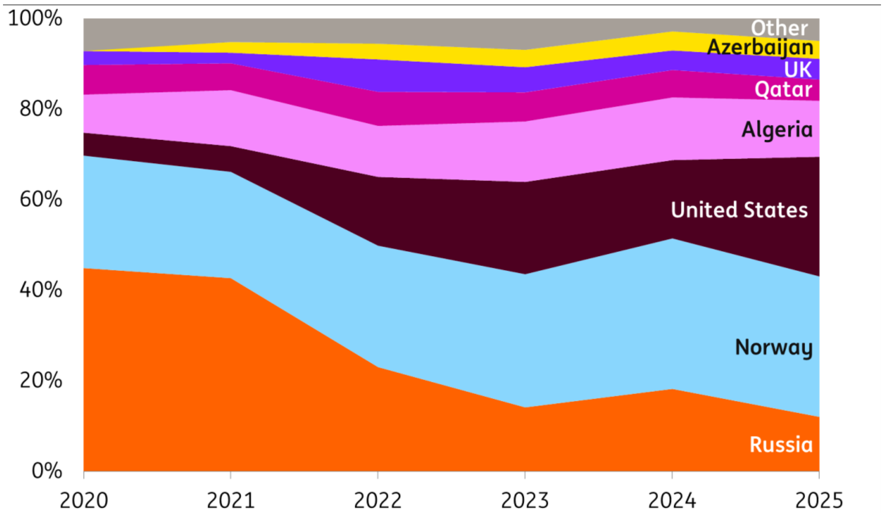
At the onset of the Russia-Ukraine conflict, 40% of EU natural gas came from Russia, but by the end of 2025, this fell to 13%. While some countries were less reliant, Germany sourced over 55% of its gas from Russia before 2022, dropping to zero pipeline imports in 2025.

Norway is now the EU's top gas supplier, followed by the US

Norway is now the EU's top supplier (31% in 2025, up from 25% in 2020), followed by increased US liquefied natural gas (LNG) (26%, up from 5%). Algeria increased its share to 12%. The UK and Qatar each provide nearly 5% of the EU's total gas imports, underscoring their continued but smaller role in the region's energy mix.

EU has shifted natural gas imports from Russia to Norway and the US

Gas imports to EU-27 per country of origin 2020-25 (based on volumes)



Source: ING Research based on Bruegel

Europe now relies on a wider range of suppliers, but paradoxically, the new geopolitical situation still leaves Europe vulnerable. If tensions with Russia escalate, Norwegian gas pipelines could face an increased risk of sabotage. And President Trump has used the threat of reduced LNG exports as leverage in trade negotiations, while exports from Azerbaijan and Algeria to the EU can only increase slightly and substantial growth would require new investments which impact gas flows only after 2030. Risk-free diversification is now less feasible than during the 2022 crisis.

Implications for business leaders

Most businesses rely on energy providers for their gas supply, but these providers have limited options to further diversify their procurement strategies. As a result, companies remain exposed to potential gas supply disruptions and the associated price volatility. To manage these risks, business leaders may employ hedging strategies, even when market prices are high, and often attempt to pass increased costs on to their customers.

Coal returns as an immediate but temporary solution

Coal remains the fastest option to replace natural gas in power generation, requiring no new capacity investments. After the Russian invasion of Ukraine, coal's share in Europe's power mix rose from 11% (2020) to 13% (2022).

Although some countries have closed their coal plants, significant capacity remains. In Germany, approximately 28 GW of coal-fired capacity is operational, including both hard coal and lignite units, with some scheduled to run beyond 2030. Poland retains around 27 GW of coal-fired power capacity and, as of mid-2025, has approved the extension of ageing 200 MW coal units for national security reasons. Meanwhile, the Netherlands is home to two of Europe's newest coal plants, with a combined capacity of 2.5 GW.

Until recently, gas-fired plants were more economically attractive than coal-fired plants, resulting in coal capacity being largely underutilised and readily available for rapid production increases. Given Europe's extensive and interconnected power grids, ramping up generation from coal plants could effectively reduce gas usage in power plants across the continent.

A common concern is the increase in carbon emissions. However, both coal and gas power plants operate under the EU Emissions Trading System (ETS), which sets a cap on total emissions regardless of the energy source. Switching to coal boosts demand for carbon allowances and, all else being equal, leads to higher prices for carbon allowance. Yet, in the event of a gas crisis, the additional carbon costs are typically much lower than the sharp rise in gas prices. This is already evident in current markets, where coal is increasingly used as a substitute for gas whenever gas prices surpass €45 per megawatt-hour.

Implications for business leaders

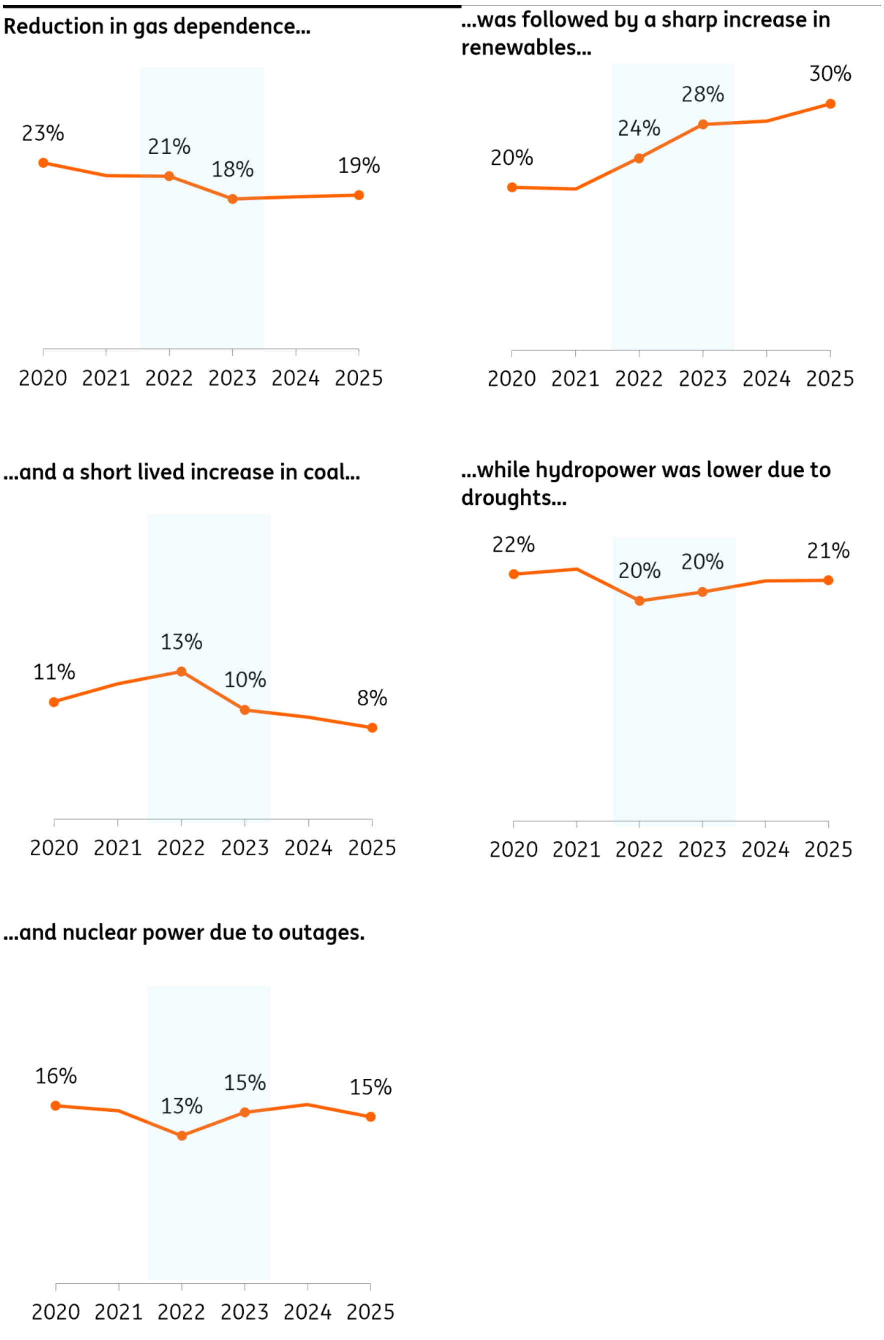
For business leaders, the implications are clear: while coal can provide a buffer against gas supply disruptions, it comes with the risk of increased carbon costs. The trajectory of ETS prices is influenced not only by greater coal usage but also by how much the gas crisis dampens economic activity, particularly in energy-intensive industries that drive demand for carbon allowances. When ETS prices rise, energy procurement costs increase, making exports to countries outside the EU less competitive. Consequently, investment strategies are shifting towards minimising both gas and carbon exposure – such as through energy efficiency initiatives and electrification – rather than depending on short-term fuel substitutions.

Renewables remain the long-term goal, but grid limits slow progress

During the 2022 energy crisis, lower gas use was largely offset by increased renewable generation while coal played a secondary role. This transition was further impacted by reduced output from hydropower and nuclear plants, which experienced operational disruptions from outages and severe droughts.

Within the power sector, renewable expansion replaced gas, with coal usage rising temporarily before resuming its decline

Share of energy source in European power generation mix (2020-2025)



Source: ING Research based on Bloomberg New Energy Finance

According to DNV's 2026 global energy survey, 71% of senior energy professionals believe that expanding renewables is key to energy security. However, further expansion of renewables is now considerably more challenging compared to 2022 due to grid congestion. For example, in the Netherlands, more than 4,000 companies, including developers of wind and solar projects, are waiting for a grid connection. In Poland, 205 GW of renewable energy and storage projects are queued for grid access.

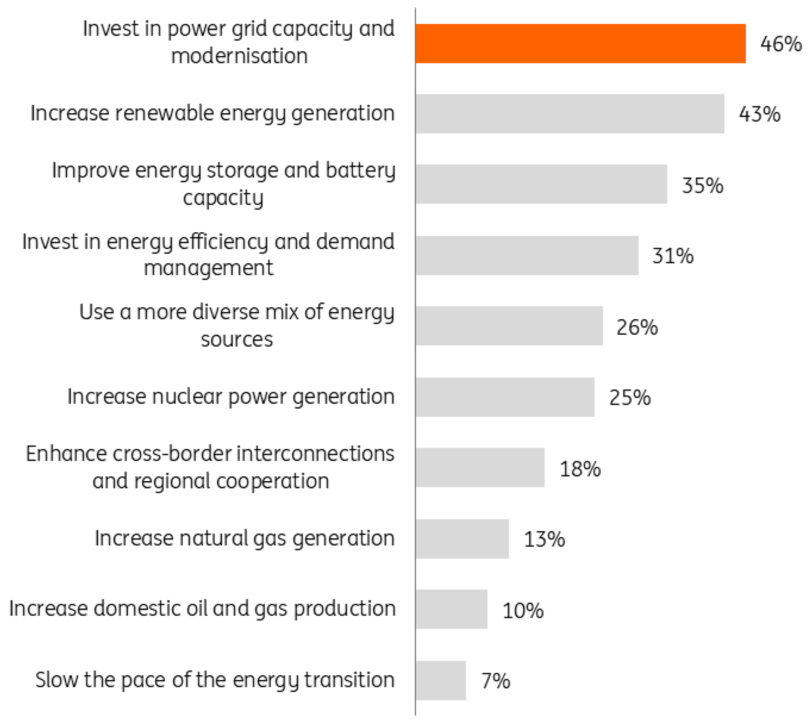
Grid congestion delays renewable expansion

Although speculative "ghost projects" inflate the numbers, real projects are affected. Since 1 January, Dutch grid operators now prioritise connections for grid-enhancing projects like batteries and demand flexibility, followed by critical needs (defence, hospitals, police, water), then societal services (housing, schools, waste, telecom). Businesses, including developers of renewables, are fast – often facing years-long delays.

So, while renewables are economically attractive, grid congestion delays expansion. Energy professionals now see grid investment as the most effective way to boost security.

What energy professionals think is the best way to improve energy security over the next three years

Percentage of respondents including the solution as one of their top three



Source: ING Research based on DNV's 2026 global energy survey

Implications for business leaders

For European businesses, renewables remain the cheapest and most credible route to reducing gas exposure and long term power costs. Politicians are also in favour of renewables – even more so in times of crisis – and they are likely to incentivise project developers to build renewables and businesses to use renewable electricity. However, for business leaders, the constraint is no longer renewable economics, but infrastructure. The speed at which they can grow renewables will increasingly depend on access to grid capacity and flexibility solutions, making investments in storage, demand response, on site generation and locations with available grid headroom a strategic factor – rather than energy prices alone.

Biogas: Europe's scalable, local, and circular gas solution

Biogas stands out as a medium- and long-term solution for Europe, supporting a resilient system while reducing Europe's dependence on imported gas.

Europe produces about 7 billion cubic meters (bcm) of biogas (1.6% of demand). Forecasts by DNV and BNEF suggest production could triple to over 20 bcm by 2030 and plateau at 30 bcm by 2035 – almost 8% of current demand. While this is substantial growth, it falls short of the EU's 35 bcm REPowerEU target for 2030 that was defined in the wake of the Russian gas crisis.

Even more significantly, biogas has the theoretical capacity to supply up to one-third of Europe's current gas demand. This would require tapping into all available sustainable feedstocks, including manure, agricultural residues, organic waste, and utilising advanced gasification technologies. However, realising this potential depends on strong policy support, rapid technological deployment, and effective management of biomass competition – conditions that are currently far from being met.

In Denmark, biogas now supplies 40% of the country's gas demand

Denmark exemplifies biogas success, with 58 plants built in a decade now supplying 40% of national gas demand. With further policies, Denmark could reach 100% biomethane in a few years and even exceed domestic needs if it also pursues policies to reduce domestic gas demand. This would make Denmark's gas system net zero and locally circular, with renewables supplying electricity most of the time, and biogas providing backup at times when it is valued most. Biogas also helps agriculture by reducing manure and nitrogen emissions.

Biogas production costs currently range from €50 to €100 per megawatt-hour. Prior to the recent energy crisis, biogas was considered expensive, especially when compared to gas prices around €20 per megawatt-hour. This presents a difficult choice for both policymakers and business leaders: Should they prioritise the lowest-cost gas, risking increased exposure to volatile international markets, or pursue greater energy independence through locally produced, circular biogas at a higher cost? Historically, the preference has been for cheaper imported gas, but a renewed energy crisis could substantially strengthen the case for investing in biogas. Additionally, increased local biogas production means that Europe spends less on gas imports from countries outside the EU, keeping more of the economic benefits within its own borders.

Implications for business leaders

From a supply perspective, farmers and waste management companies have the ability to scale up biogas production, as long as the business case is attractive. Achieving this requires robust policy support and reliable buyers willing to pay a green premium for biogas. So, for business leaders on the offtake side, investing in biogas is not just about minimising costs; it's a strategic move to reduce exposure to volatile international energy markets and strengthen energy independence. Investing in higher priced, locally produced biogas can strengthen energy security, reduce carbon and import exposure, and keep value chains closer to home. As a result, competitiveness will increasingly depend on whether companies integrate energy resilience into investment decisions, rather than optimising solely for short term fuel costs.

Offshore gas: Europe's potential bridge as region shifts to low gas demand

Europe possesses significant offshore gas resources, with total reserves estimated at around 5,000 billion cubic meters (bcm), primarily located in Norwegian waters. Of this, approximately 2,000 bcm consists of proven (discovered) reserves, while the remaining 3,000 bcm represents potential reserves that could be uncovered through further exploration efforts.

Currently, production from offshore fields in the European Union, UK and Norway is set to fall from about 180 bcm per year today to about 30 bcm by mid-century. This is driven by the geological decline of existing production fields and the prevailing policy trajectory of one of 'managed decline'; gradually reducing production to align with net zero ambitions by 2050. For instance, in November 2025, the UK officially announced it would no longer grant new exploration licenses for offshore oil and gas exploration.

An alternative "maximum extraction and exploration" approach could slow this decline, making Europe less dependent on gas imports, while also reducing the carbon intensity of gas usage as North Sea gas emits up to six times less CO_2 than imported LNG from the US and Russia.

It's important to recognise that boosting offshore gas production alone does not shield Europe from high gas prices. As long as the region remains dependent on imported gas, liquefied natural gas (LNG) will continue to dictate market prices. This is why the most effective long-term solution is a comprehensive electrification strategy powered by renewables and nuclear energy, which breaks the link between electricity costs and gas prices. In the interim, increasing offshore gas output can help ease supply challenges, but it does not resolve Europe's vulnerability to global price fluctuations.

Implications for business leaders

For business leaders, there are two key takeaways. Firstly, while Europe possesses substantial gas reserves, current policy decisions mean these resources remain largely untapped. From a commercial standpoint, this is understandably difficult to accept, but unless a prolonged and severe gas crisis occurs, a significant policy reversal is unlikely. Secondly, even if offshore and biogas production are expanded, Europe will continue to face high and unpredictable gas prices as long as it remains dependent on global LNG markets.

This highlights the critical need to reduce direct exposure to gas by enhancing energy efficiency, accelerating electrification, and securing long-term power purchase agreements for electricity generated from renewable or nuclear sources.

Nuclear power revival: Europe's ambitious long-term strategy

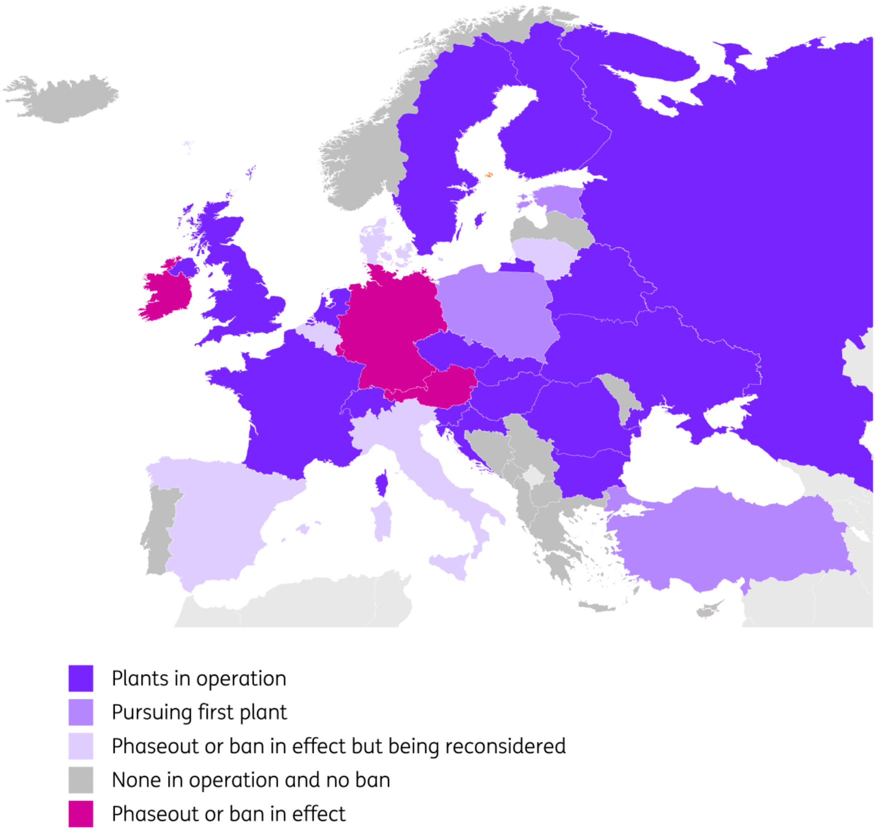
The 2022 energy crisis reignited interest in nuclear power throughout Europe, which could be further accelerated by today's crisis. Just like the 1973–74 oil crisis spurred France's large-scale nuclear buildout, which now supplies 70% of its electricity, ensuring reliability and low prices.

In March 2026, European Commission President Ursula von der Leyen publicly acknowledged that Europe's shift away from nuclear energy following the Fukushima disaster – most notably Germany's abrupt phase-out – was "a strategic mistake."

Countries like Spain, Italy, Belgium, Denmark, and Lithuania are reconsidering nuclear bans. The UK made a final investment decision for the 3.3 GW Sizewell plant in 2025 while Hungary and Slovakia are building 1.7 GW of new capacity. And, according to the World Nuclear Association, 27 additional nuclear power plants are currently in the planning stages across the EU, underscoring a strong and growing commitment to nuclear power in Europe's future energy landscape.

Europe's evolving approach to nuclear power: some countries construct their first nuclear plants, others actively reconsider bans

Status of nuclear power in European power markets



Source: ING Research based on Bloomberg New Energy Finance

Extending the lifecycle of existing and low-cost nuclear power plants is a no regret policy. However, it is likely to take many years before Europe can significantly expand its nuclear power capacity, due to two key challenges.

First, recent attempts to build new nuclear plants in Europe have proven complex and costly. Flagship projects such as Flamanville, Olkiluoto, and Hinkley Point C have faced significant delays and substantial cost overruns, highlighting the considerable hurdles that remain for large-scale nuclear expansion.

Second, while interest in Small Modular Reactors (SMRs) is growing, their deployment is still in the early stages. At present, only two SMRs are operational – one in Russia and one in China – with two additional units under construction in Canada and the US. Furthermore, Europe faces heightened geopolitical risks with SMRs because these reactors rely on advanced nuclear fuel, which is primarily sourced from Russia. This dependence could complicate efforts to adopt SMR technology and increase vulnerability to supply disruptions.

So, despite the nuclear power revival, it is a long-shot strategy for Europe.

Therefore, while Europe is experiencing renewed interest in nuclear power, expanding its nuclear capacity remains a challenging and uncertain long-term endeavour.

Implications for business leaders

The revival of nuclear power in Europe has very different implications depending on where companies sit in the value chain. For business leaders operating in the nuclear value chain, especially those focused on innovation, engineering, design, fuel services, and project development, the evolving policy landscape offers clear support and new opportunities. Conversely, for energy-intensive industries, the outlook is more measured. For most companies, nuclear power remains a high-risk, long-term strategy rather than a practical solution, particularly if it diverts attention from existing technologies that can more readily decrease reliance on natural gas.

As Europe faces the prospect of another energy crisis, the solution should extend beyond simply lowering energy bills for households and businesses. There is an urgent need for technologies and policies that can significantly decrease Europe's future dependence on natural gas. As the energy crisis continues, we can expect significant progress in addressing grid congestion to accelerate renewable integration, ramping up biogas production, and potentially utilising temporary measures such as coal substitution or offshore gas extraction.

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Disclaimer

Rates Spark: Continue to play the end-of-war game

There is lots of noise out there about the ceasefire, and indeed something of a vacuum till negotiations actually begin on Saturday. But we continue to see enough to distil an outcome that ultimately sees the war conclude. The main bond market outcome is an extrapolation of a steepening impulse from both ends of developed market curves

We see enough out of the Iran ceasefire narrative to find an end to the hostilities

Base case, we expect to see a way through this whole mess

It's painfully slow, but we see enough out of the Iran ceasefire narrative to extrapolate an outcome that culminates in an end to these particular hostilities. As noted, this likely involves the US taking control of Iranian uranium enrichment while Iran retains some semblance of control over the Strait (even if in an acknowledged 'monitoring' role). As it is, we're in something of a vacuum, as the official negotiations don't start till Saturday. But with Israel now reaching out to Lebanon, it's clear that the US is paving the way for a final outcome. The fact that the Strait remains broadly closed misses the bigger point. As a stand-alone issue, this is of course not good. But this is not the end game. It's Iran pre-positioning ahead of talks. Base case, we expect to see a way through this whole mess.

The market reaction maintains a positive gloss overall. For US Treasuries, the curve is beginning to show a tendency to re-steepen. The path for the front end is lower yields as there is a price to be paid for the inflation angst now and ahead, which is ultimately negative for the economy. Meanwhile, longer-dated yields should be curbed from moving too much lower on account of the inflation risks ahead. The 5yr area of the curve continues to re-richen, which makes sense as the market nods towards Fed rate cuts to come later in the year. All the while, there is room for the curve to steepen, from both ends. Thursday's 30yr auction struggled while Tuesday's 3yr auction did better, fitting with the aforementioned steeper curve bias.

Friday sees the March CPI reading, and we are set to see a comfortable 3% handle on headline inflation. This is a clear repercussion of the higher oil and energy prices, and will remain a feature in the coming months as the impact of the higher oil price continues to feed through. Troublingly, core inflation (which excludes energy) will rise too, even if in a more moderate manner. The market *should* be expecting most of this. But even still, confirmation of higher inflation reminds us that it *is* a thing, and will remain so in the coming number of months. Market break-even inflation rates in fact anticipate a rise in US inflation towards 4%. A first step in that direction will be confirmed from Friday's inflation report.

Rebound from the initial spread tightening in EGB space has been rather muted

Oil prices remain more sensitive to lingering tensions and continue to gradually creep higher again. The feed-through to front-end rates via inflation and central bank hiking expectations remains more direct. EUR rates markets are again eyeing the possibility of the ECB hiking more than the 50bp, which has apparently become the baseline for this year.

Amid rates creeping higher, one could also be interpreted as a sign of caution, given that the Finnish sale of a new 10y benchmark attracted an order book only around half of the usual size for its past 10y deals.

However, beyond those indications of returning caution, overall market risk sentiment appears more ready to look through the crisis by now. Despite all indications that the ceasefire is a fragile one, this growing optimism perhaps rests more on the notion sinking in that US President Trump needs to appease a domestic audience, limiting his appetite to escalate further.

We observe that equities have not given up the gains on the initial positive news as readily with the VIX index actually staying close to its lowest levels since early March. And even in rates markets, we have witnessed a bear steepening. This bear steepening has gelled with a tendency of longer real rates also wanting to rise again, at least on the EUR side.

Also, as a sign of returning optimism, the rebound from the initial spread tightening in the EGB space has been rather muted. The 10y BTP/Bund was only modestly wider on the day. And more indicative of the markets pricing out severe tail risks was that Bunds have lost more ground versus swaps.

Friday's events and market view

The highlight will be US CPI data whereby markets are bracing for an increase from 2.4% to 3.4% for the headline number, while core is expected to rise mildly from 2.5% to 2.7%.

In terms of issuance, we have Italy with a 3Y, 7Y and 15Y BTP auction for a total of €8bn.

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The US tariff shock in 2025 vs 2026 – same negative impact, different drivers

The US tariff shock of 2025 was historic, but its impact on Europe was partly cushioned as tariffs on rival suppliers rose, keeping Europe's US market position broadly intact. Even so, exports fell amid higher tariffs and uncertainty. With tariffs converging to 15% in 2026 for most partners, Europe's competitiveness is set to deteriorate

One year on from the historic US tariff rollout, the impact is becoming clear

The rollout of new US tariffs in 2025 triggered months of uncertainty and market volatility. One year on, their impact is becoming clearer. Although the tariff hike was historical, its direct effect on the European economy proved more muted than initially feared. This not only reflected exemptions, tariff front-loading and strong US demand for pharmaceutical imports (especially from Ireland), but also the fact that US tariffs on many competing suppliers also rose sharply in 2025, temporarily preserving Europe's competitive position on the US market. Still, higher tariffs, the stronger euro, and heightened uncertainty weighed visibly on EU US trade.

Looking ahead, the drivers of EU-US trade are shifting. The Turnberry deal locks in a 15% tariff rate for EU exports, while tariffs on competing countries are also set to converge towards 15% in 2026. Countries such as China (31.1% effective tariff rate in 2025), India (20.5%) and Indonesia (20.8%) will therefore face substantially lower tariff rates than in 2025, eroding the EU's relative position on the US market. As a result, the drag on EU exports is likely to persist, driven less by uncertainty and tariff asymmetries and more by a deterioration in relative competitiveness.

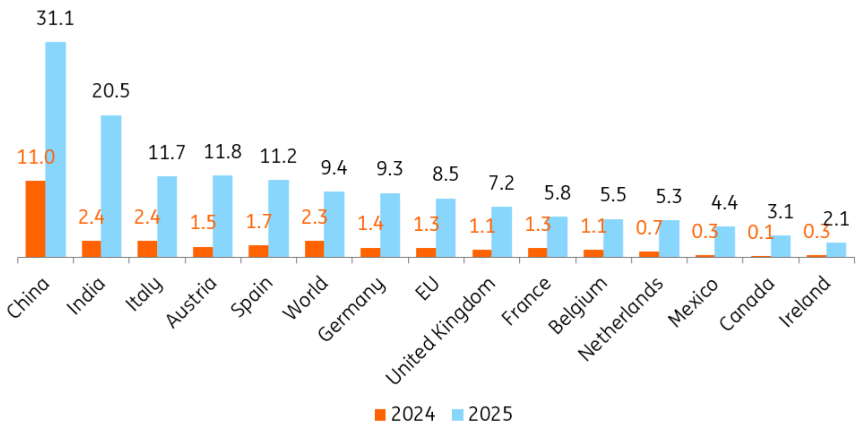
US tariffs jumped sharply in 2025, but less than feared

US tariffs increased sharply in 2025. The effective tariff rate rose by 8.1 percentage points, a historic jump, but one that ultimately proved less severe than the most adverse scenarios had anticipated. This more benign outcome partly reflected tariff stacking rules and sector specific exemptions, and partly the ability of exporters to adapt by rerouting trade flows or adjusting the composition of shipments to the US market.

For the EU, the effective tariff rate climbed to 8.5% in 2025, up by 7.2ppt compared with 2024. Despite the EU's common external tariff, effective tariff levels varied across countries due to different export structures and access to exemptions. As such, France, Belgium, and the Netherlands faced roughly half the effective tariff burden of countries such as Germany, Italy or Spain.

Large differences in effectively applied tariff rates, even within the European Union

US effective tariff rate, December values (%)



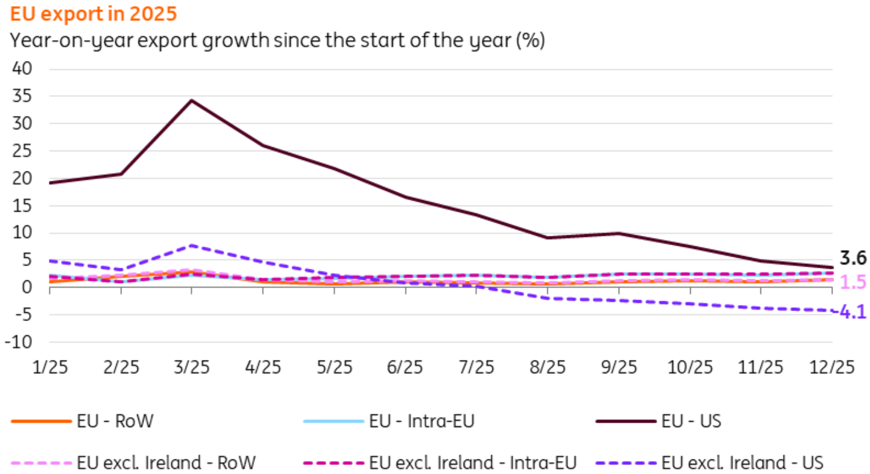
Source: US Census, ING Economic Research

EU‑US exports in 2025: Tariff front‑running, Irish outperformance and a sharp post‑tariff decline

EU exports to the US followed a highly uneven pattern in 2025. Ahead of Liberation Day, exporters rushed shipments across the Atlantic in anticipation of higher tariffs, temporarily boosting exports by up to 35% year-on-year. This front loading effect was particularly pronounced in Ireland, where strong US demand for weight loss related pharmaceutical products largely offset the negative impact of tariffs throughout the year.

Once higher tariffs took effect, however, EU US trade weakened markedly. EU exports to the US, excluding Ireland, fell by 4.1% in 2025, despite exports to the rest of the world increasing by around 1.5% last year. This sharp difference suggests that the tariff shock had a strong negative impact on EU US trade, even if it was temporarily masked by front loading and Ireland specific factors, and broader macroeconomic developments like the strengthening of the euro.

EU exports to the US surged ahead of tariff hikes but fell markedly once higher tariffs took effect



Source: Eurostat Comext, ING Economic Research

Tariff impact in 2025: Uncertainty amplifies the hit, competitiveness cushions the blow

Given these overlapping effects, what was the net impact of US tariffs on EU US trade in 2025? To answer this, we isolate and decompose the impact of US trade policy on EU trade into three channels using a regression framework.

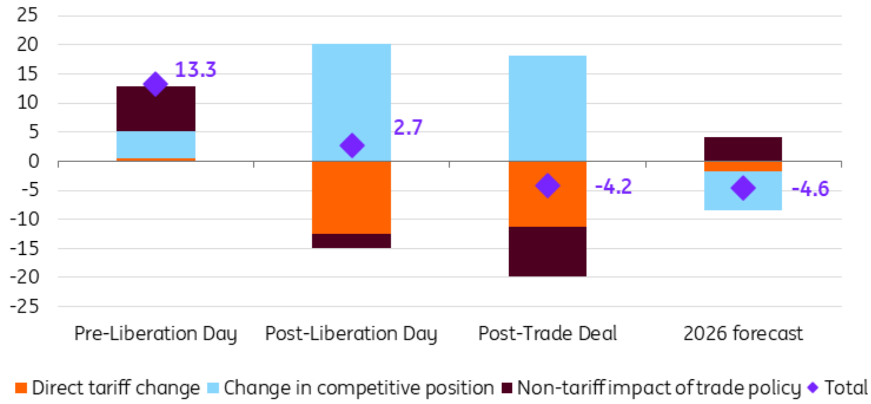
1. The **direct tariff effect** was immediate and sizeable. Following Liberation Day, higher tariffs triggered a strong fall in demand, depressing EU US trade.
2. This negative impact was more than offset by the sharp increase in **tariffs faced by competing suppliers** on the US market, such as China and India. As a result, the EU effectively regained ground relative to the direct tariff shock.
3. Tariffs also affected trade through **non tariff channels**. Heightened uncertainty initially encouraged tariff frontrunning, but later led to postponed investment and exports, as well as lower trade volumes due to rising administrative and compliance burdens.

Taken together, the direct tariff impact, shifts in relative competitiveness and uncertainty related effects point to a net reduction of around 4.2% in EU US exports in 2025. This estimate captures the pure impact of tariffs, abstracting from broader macroeconomic conditions. Yet, it aligns remarkably closely with the observed decline in EU exports to the US once the exceptional surge in Irish exports is excluded.

US tariffs are estimated to reduce EU-US exports by more than 4% in both 2025 and 2026

Estimated impact of tariff changes in 2025 on European exports to the US

Year-on-year export growth since the start of the year (%)



Source: ING Economic Research Note: The estimated effects of tariff changes are derived from a gravity model of European exports at the sectoral level. The model uses effective US tariff rates and controls for general macroeconomic developments and other policy measures. The 2026 projection assumes the conclusion of a trade agreement between the EU and the US, leading to a slight increase in effectively paid tariffs, whose economic impact is assumed to strengthen gradually over time. At the same time, the projection assumes a decline in non-tariff barriers due to greater policy certainty and the global statutory tariff levels converging towards 15%.

More certainty, higher tariffs ahead

Against this backdrop, the endorsement of the Turnberry deal by the European Parliament marks a clear turning point in EU US trade relations (even if national ratification still has to follow). By ruling out the near term use of tariff coercion instruments, the agreement brings greater clarity and predictability. Fixing tariffs at 15% should reduce trade policy uncertainty and ease non tariff frictions, lowering compliance costs for firms exporting to the United States.

That clarity, however, comes at a price. Locking in a 15% tariff likely implies a higher effective tariff rate than the 8.5% observed in 2025. As a consequence, the EU's relative competitive position is set to weaken in 2026 as Europe's competitors in the US markets, like China, India, and Indonesia, will benefit relatively more from the US Supreme Court's ruling and the rollback of IEEPA related tariffs.

Taken together, higher tariffs and a deteriorating relative competitive position will outweigh the benefits of increased certainty in 2026. Unlike in early 2025, exporters can no longer rely on tariff frontrunning to cushion the impact. Moreover, as firms gradually adjust and substitution possibilities increase, trade responses will intensify. As a result, EU export growth to the US is expected to slow further by around 4.6% in 2026 due to tariffs alone, abstracting from broader macroeconomic developments, even though the underlying drivers differ from those observed in 2025.

Overall, the tariff shock may have been less dramatic than initially feared based on headline numbers, but its economic damage is already evident and is likely to extend into 2026. Diversifying trade towards partners such as Mercosur and India is both a necessary and welcome policy response, but these markets still fall short of the depth of the US market. This reinforces the importance of strengthening the EU internal market as a key policy priority going forward.

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Disclaimer

CNY at a glance: China’s yuan moves into our bullish scenario

News of a US-Iran ceasefire has pushed the Chinese yuan higher, breaking through our previous forecast band and prompting an update. We're setting the new forecast band at 6.70-7.05, formerly our bullish scenario for the CNY this year

China's yuan has risen more than 2% against the dollar this year

6.70-7.05

Our updated 2026 USD/CNY fluctuation band

Adjusted lower amid continued bullish factors for the yuan

CNY has outperformed most currencies vis-a-vis the dollar this year

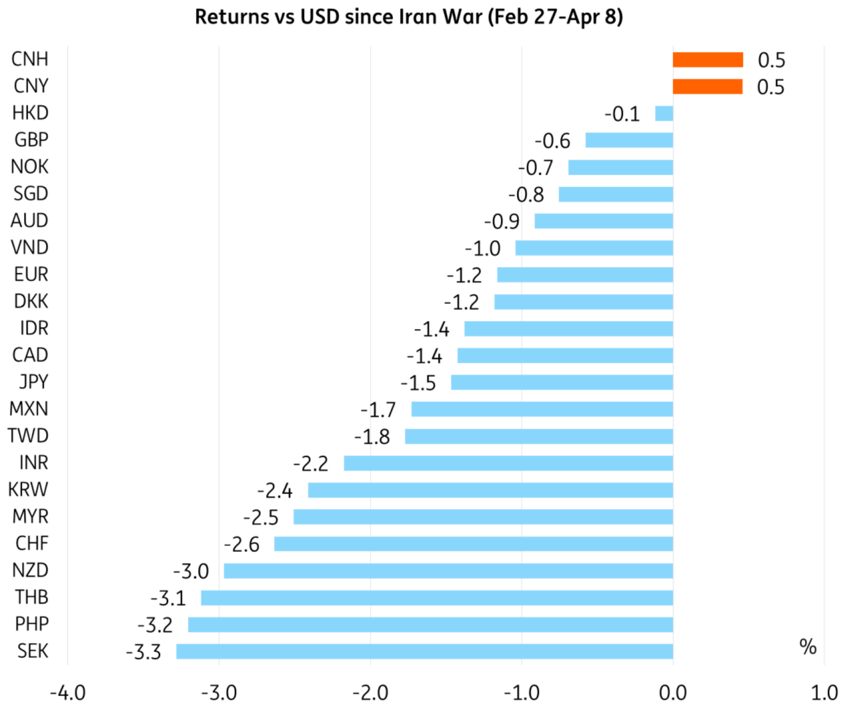
The Chinese yuan has tended to fall in the middle of the pack in terms of its performance versus the US dollar in the past few years, as the currency stability objective of the People's Bank of China has led to very limited movement in the yuan.

This has changed so far in 2026. Year-to-date, the CNY has actually been one of the notable outperformers against the USD, up 2.3%, easily outperforming most other Asian currencies on the year. Since the outbreak of the Iran war to the time of writing, the yuan (CNY) and the offshore yuan (CNH) are the only currencies in our tracked basket that have actually gained against the USD.

So what's the story behind this surprising outperformance?

- First, the market's bullish sentiment has carried forward. We wrote about the building bullish sentiment in the last update of this report in January. In our conversations with a wide range of market participants, we note that this bullish sentiment on the CNY remains intact and seemingly quite widespread.
- Second, policymakers appear content to allow for further CNY strengthening. There was some question about this when policymakers cut the foreign exchange risk reserve ratio from 20% to 0% in what was an apparent attempt to halt the pace of CNY appreciation. However, after the outbreak of the Iran war, and the immediate spike in oil prices, there appeared to be a change of heart, as the PBoC's daily fixings suggested a tolerance for further appreciation.
- Third, macro level drivers continue to suggest room for further appreciation of the CNY versus the USD if the situation in the Middle East is brought under control. China's exports are off to another strong start this year, suggesting that the current account surplus is going to remain a positive factor for the yuan. Meanwhile, the currency has largely weathered the widening US–China yield spread, which should resume its narrowing trend if inflation expectations come under control. That is far from guaranteed. Since the outbreak of the war, two dominant narratives have emerged: warnings from experts that markets may be underestimating the impact, and a widely held expectation among investors of a TACO ('Trump always chickens out') scenario and eventual normalisation.
- Fourth, the CNY has been a surprising winner of the Iran war, despite China's role as the largest oil importer in the world. At least a few market participants have mentioned re-evaluating the "China risk premium" amid rising global uncertainty elsewhere, which has led to China looking more and more like the adult in the room. While the actual direct impact has been tangential at best, discussions of the potential damage to the petrodollar system and rise of the petroyuan – aided by Iran's plans to collect a fee for passage through the Strait of Hormuz to be collected in CNY or cryptocurrency – may have also added to longer term bullish expectations for the CNY.

CNY and CNH have been the surprising outperformers since the Iran war broke out



Source: Bloomberg, ING

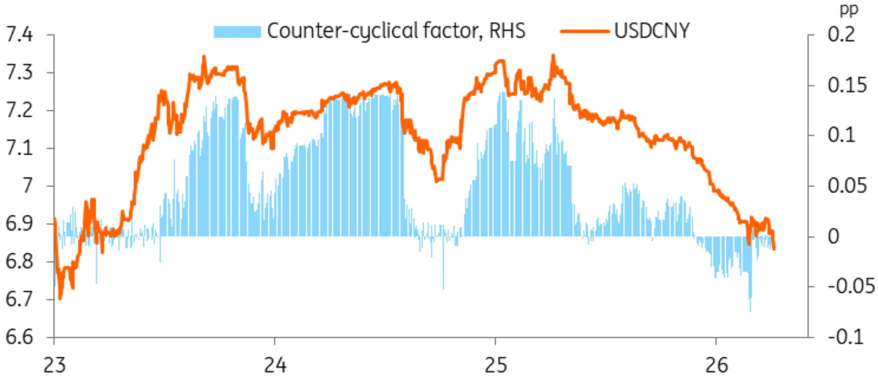
PBoC fixings suggest no opposition to gradual appreciation

In this report series, we've often talked about the PBoC's currency stability objective as one of the key deciding factors for the trajectory of the USD/CNY. The PBoC has exerted its influence on the currency primarily through its daily fixings. The counter-cyclical factor, which is the adjustment it makes to the daily fixing versus the previous day's market closing price, has been heavily relied on to curb excessive movements of the USD/CNY during periods of heavy market speculation. In the last few years, this has mostly been used to push back against heavy depreciation pressure. Towards the end of 2025, however, this pattern started to reverse, with the PBoC using fixings to push back more cautiously against appreciation.

The PBoC's counter-cyclical factor has been very close to neutral for most of March and the start of April, after leaning more forcefully against rapid appreciation in previous months. This has sent a signal that policymakers are open to the CNY continuing to strengthen, and remains one of the main factors supporting CNY appreciation. This was a little surprising as the counter-cyclical factor and the cutting of the foreign exchange risk reserve ratio from 20% to 0% had appeared to signal an effort to rein in CNY appreciation back in February.

The outbreak of the war in Iran looks to be the reason for the renewed embrace of a stronger CNY. China remains the world's largest oil importer, and while a slight appreciation of the CNY certainly won't offset the surge in oil prices, it can at least help mitigate the potential pain. Other factors may include the senior-level comments on attempting to balance trade and ramp up imports, to which a strong CNY would also contribute. Furthermore, it is possible that higher inflationary pressure and uncertainty from the war will delay potential PBoC rate cuts; as a result, we have pushed our forecasts back from 2Q26 to the second half of the year. Even though PBoC cuts tend to be modest, a delayed rate cut is nonetheless a positive factor for CNY appreciation.

Counter-cyclical factor has been mostly neutral compared to previous years



Sources: Bloomberg, CEIC, ING

CNY has shrugged off a sharp widening of yield spreads

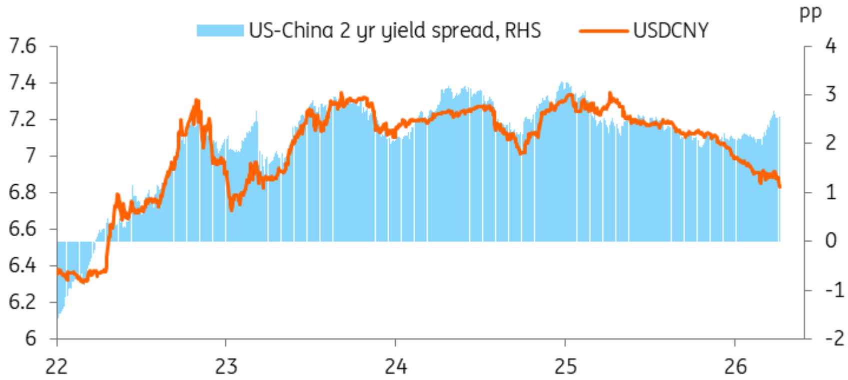
US-China yield spreads have been a major driver of the USD/CNY's trajectory over the past few years. Higher US yields have been a key reason why Chinese exporters have kept a large share of their proceeds offshore, contributing to CNY weakness in recent years. However, as the Federal Reserve resumed its rate cutting cycle, the yield spread began a more predictable narrowing trend from early 2025 through early 2026.

The Iran war has quickly derailed this story, as US yields moved higher while Chinese yields edged a little lower. Over recent weeks, the two year US–China yield spread widened to its highest level since February 2025. Yet this translated into only a modest softening of the CNY over the same period, and by the time of writing, renewed prospects for peace have led markets to largely shrug off the wider yield spread entirely.

There's still a relatively high level of uncertainty on this front, mostly from the US side of the equation. If inflation remains under control, and the Fed eventually resumes rate cuts after a few pauses, we'll likely see a return of the narrowing yield spread story, which will further fuel CNY appreciation expectations. This is one of the reasons why the CNY has strengthened considerably on today's news of a two-week ceasefire.

However, if we move into a longer rate hold, or worse, a Fed rate hike environment where the yield spread stays elevated, the bullish case for the CNY begins to look weaker. This is a potential outcome of a longer war scenario, and remains worth monitoring.

CNY has continued to appreciate despite spike in yield spreads



Sources: Bloomberg, CEIC, ING

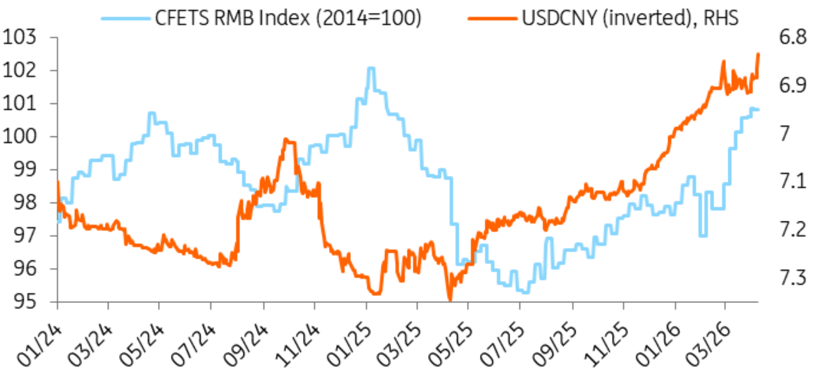
CNY's recent outperformance across the board may not hold if peace is successful

We wrote earlier about the CNY's surprising outperformance against the USD since the start of the Iran war, beating the other currencies in our monitored basket.

As such, it should come as no surprise that the CFETS RMB index, which heavily weights the euro (17.9%), Korean won (8.5%), and Japanese yen (8.1%) alongside the US dollar (18.3%) has also strengthened noticeably in the same period. This index is up 2.3% since the start of the Iran war, and 2.9% year-to-date.

While we are still optimistic about the CNY's prospects against the USD, the performance versus other pairs could lag behind by comparison. Other currencies, which have generally fared poorly after the Iran war, could bounce back more strongly, limiting the CNY's relative scope for further appreciation. As such, the CFETS RMB index could underperform versus the USD if we see a scenario where the peace holds and the strong dollar backdrop fades.

CFETS RMB index has also outperformed in the recent strong dollar environment



Sources: Bloomberg, ING

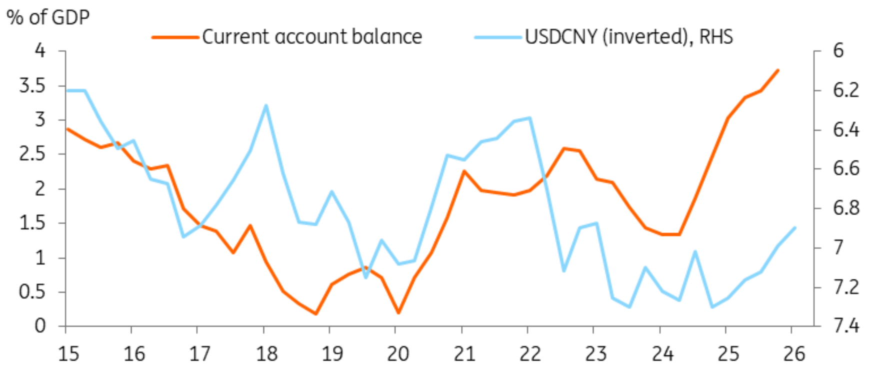
Current account shows no sign of letting up so far in 2026

China has been running an especially strong current account surplus in the last couple of years, as external demand has been resilient despite the trade war. Despite facing a largely unfavourable base effect, China's trade growth appears to be off to another strong start this year. While imports look likely to rebound as well this year, China's trade surplus will remain very significant.

This is relevant for the CNY as the currency has shown clear historical correlation with the current account, as exporters tended to remit proceeds back into the CNY. This relationship appears to have broken down in recent years. While the current account balance has risen sharply, USD/CNY has remained largely range bound. This reflects exporters holding a greater share of foreign currency proceeds due to more attractive yields abroad relative to China, as well as generally subdued domestic investment appetite – underscored by the fact that 2025 marked the first year on record in which fixed asset investment contracted on an annual basis since data publication began.

What does this mean for the CNY? Assuming that exporters eventually begin to convert holdings back to the CNY – either to meet domestic obligations or as yield spreads narrow – this would translate into a lot of pent-up demand for the CNY. We have already observed this to be a factor during the CNY's rally to date, but considering the current levels for the CNY and the current account balance, it could be argued there's still plenty of room to go.

Current account balance suggests more strength for CNY ahead



Sources: Bloomberg, ING

Rise of the 'petroyuan' remains a long-term theme rather than a short-term catalyst

Iran's potential move to turn the Strait of Hormuz into a tolled passageway – requiring payments in cryptocurrency or CNY – has sparked lively debate about what this could mean for the yuan's future. This includes renewed interest in the so called 'petroyuan', perhaps last discussed prominently near the start of the Russia-Ukraine war, when sanctions on Russia resulted in much of the country's oil trade with China moving to the CNY.

One interesting argument was that, if the Iran war were to end with Iran successfully controlling the Strait of Hormuz, this could lead to a system in which payments for passage are collected in CNY, and eventually to oil trade flows through the Strait and into Asia being denominated in CNY. In this scenario, the Iran war would be seen as dealing a major blow to the petrodollar system, with the CNY emerging as a key beneficiary amid an acceleration towards a 'petroyuan' system, and the world taking another step towards a more multipolar order.

It's not surprising why this topic has garnered interest and discussion. However, there are a few logical leaps that appear to occur here; it's assumed that the trade going through the Strait would be priced in CNY, rather than just the fee for passage. This would require the cooperation of all of the Gulf states, and there hasn't been anything to indicate that such a shift is currently in the works. It also assumes that Iran permanently assumes control of the Strait, and passing ships willingly pay the fees.

In the near term, the impact is likely to be very incremental. After all, there is not a strong level of clarity on Iran's criteria for letting ships through the Strait of Hormuz, with only a small number of tankers currently permitted to transit. Among those ships that have secured passage, it is unclear whether or not a toll was paid, and whether the payments were made in CNY or other currencies.

In a thought exercise where we take the most optimistic assumptions, where traffic to the Strait of Hormuz is fully restored to around 100 vessels a day or 36k vessels a year, and that every single vessel that passed through the Strait ended up paying a USD 2mn equivalent fee in CNY, we'd still only get a somewhat paltry USD 72bn or RMB 491bn.

In a vacuum, this increases CNY demand and global usage. But how significant is that in the grand scale of things? Considering that China's Crossborder International Payments System (CIPS) handled around RMB 180tn of payments in 2025, an extra RMB 491bn wouldn't be negligible but far from a gamechanger.

Nonetheless, the fact that the CNY was requested as a payment currency certainly is something interesting to watch. It is a real-world example of the CNY's rising clout and a vote of support for China acting as a counterweight to the US-dominated financial system.

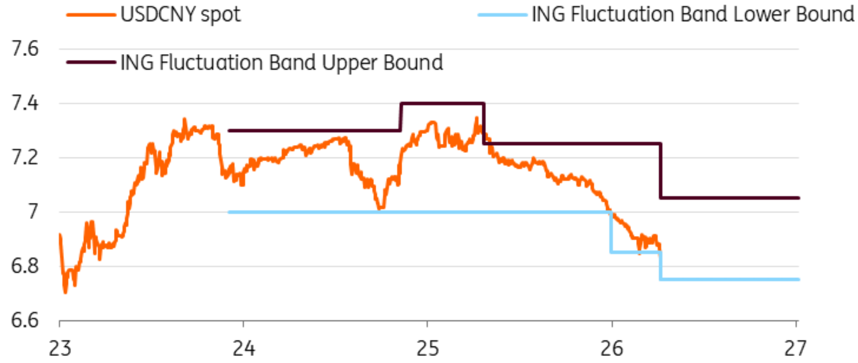
CNY's continued outperformance pushes us into the bullish forecast band

We are moving on from the previous baseline forecast fluctuation band of 6.85-7.25 for the USD/CNY, and lowering the new forecast fluctuation band to what was formerly our bullish scenario forecast of 6.70-7.05. We lower the year-end USD/CNY forecast to 6.75.

The CNY has performed stronger than expected after policymakers ended the pushback against appreciation, and has largely shrugged off a strong dollar environment and elevated global uncertainty to continue its appreciation trajectory.

Risks to the band look roughly balanced at this point. Bullish factors remain in place, but markets also look largely positioned for this already, and it would still be a little surprising to see the PBoC tolerate the CNY strengthening past 6.70 this year; recall that the 6.70 level was basically the strongest for the CNY since currency stabilisation became a more prominent theme back in 2023. On the other hand, a bearish reversal past the top end of the band would likely require new catalysts such as a substantially more hawkish global central bank environment widening China's yield spreads versus other countries, or a renewed pessimism setting in on China's growth. These are certainly possible if we see a strong inflationary impact from the war in Iran, or if China's efforts to bolster domestic demand fall short.

Forecast band shifted lower as CNY continues to outperform



Sources: Bloomberg, ING

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